

COMMERCIAL LEASE AGREEMENT

IFRS 16 — Leases Compliant

Ref: SYD-2024-0042

LEASE SUMMARY	
Lessor	ABC Property Holdings Pty Ltd (ACN 123 456 789)
Lessee	XYZ Corporation Pty Ltd (ACN 987 654 321)
Premises	Level 12, 200 George Street, Sydney NSW 2000
Commencement Date	1 January 2024
Expiry Date	31 December 2028
Lease Term	5 years (non-cancellable initial period: 3 years)
Annual Payment	AUD 180,000 per annum (excl. GST)
Monthly Rent	AUD 15,000 per month, payable in advance
Escalation Rate	3.5% per annum, applied on each anniversary
Renewal Option	One option to renew for 3 years — 6 months' notice required
Security Deposit	AUD 30,000 (equivalent to 2 months' rent)
Discount Rate (IBR)	4.75% per annum as at commencement date
Governing Law	New South Wales, Australia

THIS COMMERCIAL LEASE AGREEMENT ("**Agreement**") is made and entered into as of **1 January 2024** ("**Commencement Date**") between:

LESSOR: ABC Property Holdings Pty Ltd (ACN 123 456 789), a company incorporated in New South Wales, with its registered office at 50 Martin Place, Sydney NSW 2000 ("**Lessor**"); and

LESSEE: XYZ Corporation Pty Ltd (ACN 987 654 321), a company incorporated in New South Wales, with its principal place of business at 1 Bligh Street, Sydney NSW 2000 ("**Lessee**").

WHEREAS the Lessor is the registered proprietor of the Premises and desires to lease the same to the Lessee, and the Lessee desires to take the Premises on lease, the parties agree as follows:

1. PREMISES

1.1 The Lessor hereby leases to the Lessee the premises described as **Level 12, 200 George Street, Sydney NSW 2000**, comprising approximately 850 square metres of net lettable area ("**Premises**"), together with the right to use **4 designated car parking spaces** in the building's basement car park.

1.2 The Lessee shall use the Premises solely for general commercial office purposes and shall not sublet or assign without the prior written consent of the Lessor.

2. LEASE TERM

2.1 The term of this Lease commences on the **Commencement Date of 1 January 2024** and expires on **31 December 2028 ("Expiry Date")**, unless sooner terminated or extended in accordance with the terms hereof ("**Lease Term**").

2.2 **Non-Cancellable Period:** The initial non-cancellable period of this Lease is **3 years** from the Commencement Date, ending 31 December 2026. Neither party may terminate this Lease during the non-cancellable period except as expressly set out in clause 9.

3. RENT AND PAYMENT

3.1 **Annual Rent:** The Lessee shall pay to the Lessor an annual rent of **AUD 180,000 (excl. GST)**, payable monthly in advance at **AUD 15,000 per month** on or before the 1st day of each calendar month.

3.2 **Escalation:** The annual rent shall increase by **3.5% per annum** on each anniversary of the Commencement Date. The escalated rent schedule is as follows:

Period	Annual Rent (AUD)	Monthly Rent (AUD)
1 Jan 2024 – 31 Dec 2024	180,000	15,000
1 Jan 2025 – 31 Dec 2025	186,300	15,525
1 Jan 2026 – 31 Dec 2026	192,821	16,068
1 Jan 2027 – 31 Dec 2027	199,569	16,631
1 Jan 2028 – 31 Dec 2028	206,554	17,213

3.3 All rent is quoted exclusive of GST. The Lessee shall pay GST at the applicable rate in addition to the rent stated above.

4. SECURITY DEPOSIT

4.1 On or before the Commencement Date, the Lessee shall pay to the Lessor a **security deposit of AUD 30,000** (equivalent to two months' rent), to be held by the Lessor as security for the Lessee's performance of its obligations under this Agreement. The deposit shall be refunded within 30 days of the expiry of the Lease Term, subject to any deductions for outstanding rent or damage to the Premises.

5. RENEWAL OPTION

5.1 The Lessee shall have **one (1) option to renew** this Lease for a further term of **3 years ("Renewal Term")**, commencing immediately upon the expiry of the initial Lease Term, on the same terms and conditions as this Lease except that the annual rent for the Renewal Term shall be reset to current market rent at that time.

5.2 To exercise the renewal option, the Lessee must provide the Lessor with **not less than 6 months' written notice** prior to the Expiry Date. Failure to provide timely notice shall result in forfeiture of the renewal option.

6. IFRS 16 — ACCOUNTING TREATMENT

6.1 Right-of-Use Asset: The Lessee acknowledges that, in accordance with **IFRS 16 — Leases**, the Lessee is required to recognise a right-of-use asset and a corresponding lease liability on its balance sheet as at the Commencement Date. The right-of-use asset shall be initially measured at the present value of the lease payments not paid at that date, adjusted for any lease payments made at or before the Commencement Date.

6.2 Discount Rate (Incremental Borrowing Rate): For the purposes of IFRS 16 calculations, the parties acknowledge that the Lessee's incremental borrowing rate (**IBR**) as at the Commencement Date is **4.75% per annum**. This rate shall be used to discount the lease liability to its present value.

6.3 Lease Liability: The lease liability shall be initially measured at the present value of lease payments not paid at the Commencement Date, discounted using the IBR specified in clause 6.2. The lease liability shall subsequently be measured at amortised cost using the effective interest method.

7. OUTGOINGS AND OPERATING COSTS

7.1 In addition to the rent, the Lessee shall pay the Lessee's proportionate share of building outgoings, including rates, insurance, and maintenance, estimated at **AUD 18,000 per annum**. Outgoings are variable and subject to annual reconciliation.

8. MAKE GOOD AND FITOUT

8.1 At the expiry or earlier termination of this Lease, the Lessee shall, at its cost, restore the Premises to their original condition, fair wear and tear excepted, and remove all Lessee's fixtures and fittings.

9. TERMINATION RIGHTS

9.1 Termination after Non-Cancellable Period: After the expiry of the non-cancellable period on 31 December 2026, either party may terminate this Lease by providing **not less than 90 days' written notice** to the other party.

9.2 Termination for Default: Either party may terminate this Lease immediately upon written notice if the other party is in material breach and fails to remedy such breach within 30 days of receiving written notice of the breach.

9.3 Insolvency: The Lessor may terminate this Lease immediately upon written notice if the Lessee becomes insolvent, enters voluntary administration, or is wound up.

10. GOVERNING LAW AND DISPUTE RESOLUTION

10.1 This Agreement is governed by and construed in accordance with the laws of **New South Wales, Australia**. The parties submit to the non-exclusive jurisdiction of the courts of New South Wales.

10.2 Any dispute arising out of or in connection with this Agreement shall first be referred to senior representatives of both parties for resolution. If unresolved within 20 business days, either party may refer the dispute to mediation.

EXECUTED as an agreement on the date first written above.

SIGNED for and on behalf of
ABC Property Holdings Pty Ltd

Authorised Signatory
Name: _____
Date: _____

SIGNED for and on behalf of
XYZ Corporation Pty Ltd

Authorised Signatory
Name: _____
Date: _____